SARACEN BRIDGE ANALYTICS

INTERNATIONAL SALES VALUATION METHODOLOGY

Version 1.0

1. PURPOSE

The Saracen Bridge Analytics International Sales Valuation Methodology provides an independent, evidence-led framework for estimating the potential sales value of English-language feature films.

The methodology is designed to produce:

- Ask
- Expected Close
- Take
- Bankable Value
- Net Producer Receipts

The methodology may be used before the appointment of a sales agent. It does not replace direct sales-agent or distributor market testing.

All final reports must state that the estimates are independent indicative valuations and should be validated by a recognised sales agent and relevant buyers before being relied upon for binding production or lending decisions.

2. REPORTING CURRENCY

All sales estimates must be reported in USD.

Where source data is denominated in another currency, the engine must retain:

- Original currency
- Original amount
- FX rate used
- FX conversion date
- Converted USD amount

Production budgets may be entered in their original currency, but the valuation output must be converted to USD.

Talent compensation must also be stated in USD.

3. REPORT TYPES

The engine must produce two reporting options from the same underlying valuation.

3.1 Producer-Facing Report

The Producer-Facing Report focuses on:

- Commercial positioning
- Ask, Expected Close and Take
- Territory opportunities
- Cast and director value
- Budget alignment
- Sales strategy
- Package enhancement
- Scenario analysis
- Net producer receipts
- Practical next actions

3.2 Lender-Facing Report

The Lender-Facing Report focuses on:

- Take
- Bankable Value
- Evidence confidence
- Rights availability
- Existing sales
- Unsold collateral
- Cast attachment certainty
- Delivery and completion risk
- Counterparty risk
- Finance coverage
- Downside protection
- Stress-tested recovery

The underlying Ask, Expected Close and Take figures must remain identical in both report types.

The Lender-Facing Report applies separate lender-recognition discounts to determine Bankable Value.

4. TERRITORY STRUCTURE

The USA and Canada must always be valued separately.

The standard territory schedule should include, where relevant:

- USA
- Canada
- UK
- Ireland
- France
- Germany
- Italy
- Spain
- Benelux

- Scandinavia
- Eastern Europe
- Australia
- New Zealand
- Brazil
- Mexico
- Rest of Latin America
- Middle East and North Africa
- South Africa
- Rest of Sub-Saharan Africa
- Southeast Asia
- South Korea
- Japan
- India
- China
- Airlines and ships
- Other international and ancillary rights

Territories may be combined only where the market convention or available evidence justifies a regional bundle.

The worldwide summary must show:

- USA
- Canada
- International excluding USA and Canada
- Worldwide total

5. VALUATION DEFINITIONS

5.1 Ask

Ask is the commercially defensible opening price presented to a buyer.

Ask should:

- Reflect the upper end of credible market evidence
- Include reasonable negotiation headroom
- Remain supportable by the package, rights and comparables
- Not represent an unrealistic aspirational price
- Not be based solely on production budget

Ask will normally approximate an evidence-weighted upper-quartile or P75 outcome, subject to commercial review.

5.2 Expected Close

Expected Close is the most likely transaction value.

Expected Close should:

- Represent the evidence-weighted P50 outcome
- Consider both median and weighted-mean evidence
- Reflect current market conditions
- Incorporate package strength and execution risk
- Be calculated independently from Ask and Take

Expected Close must not be calculated merely as the midpoint between Ask and Take.

5.3 Take

Take is the lower commercially acceptable value at which a sale could reasonably be concluded.

Take should:

- Reflect the lower defensible market outcome
- Represent the downside commercial case
- Remain supportable by available evidence
- Consider rights, term, payment and buyer quality
- Not be treated automatically as lender collateral

Take will normally approximate an evidence-weighted lower-quartile or P25 outcome, subject to commercial review.

5.4 Bankable Value

Bankable Value is the portion of unsold Take that a lender may recognise as collateral.

Bankable Value is calculated separately from Take.

It must consider:

- Evidence confidence
- Buyer quality
- Territory
- Rights certainty
- Cast attachment
- Production status
- Delivery risk
- Existing offers or sales
- Sales-agent validation
- Collection and payment risk

A commercially credible Take does not automatically create a bankable value.

5.5 Net Producer Receipts

Net Producer Receipts represent the estimated amount available after sales deductions.

The standard formula is:

Gross Sales
less Sales-Agent Commission
less Approved Sales Expenses
less Collection-Account Costs
equals Net Producer Receipts

The default sales-agent commission is 12%.

Sales expenses and collection-account assumptions remain editable by project.

6. RIGHTS BASIS

Every territory value must identify the rights being valued.

The model must record:

- Territory
- Media rights
- Exclusivity
- Licence term
- Language rights
- Holdbacks
- Existing sales
- Reserved rights
- Excluded rights
- Payment terms
- Delivery conditions

Where no licence period is supplied, the default assumption is 15 years.

The default valuation basis is all available rights within the territory, subject to explicit exclusions.

A territory value must not be presented without a defined rights basis.

7. STREAMING TREATMENT

Streaming rights must not be double-counted.

Streaming value may be treated in one of three ways:

7.1 Included Rights

Streaming is included within the territory all-rights value.

No separate streaming value may be added.

7.2 Retained Rights

Streaming rights are expressly retained and may be valued separately.

The report must identify:

- Territories covered
- Rights retained
- Licence term
- Exclusivity
- Window
- Platform assumptions

7.3 Alternative Buyout Scenario

A global or regional streaming buyout may be modelled as an alternative transaction scenario.

It must not be added to the territorial sales model.

Named platforms must not be assigned individual values without credible evidence supporting that form of acquisition.

8. EVIDENCE HIERARCHY

Evidence is classified as follows.

Tier 1: Verified Transaction Evidence

Examples:

- Signed distribution agreement
- Executed licence agreement
- Confirmed MG
- Written distributor offer
- Completed presale
- Verified sales-agent transaction record

Tier 1 evidence may directly establish territory value.

Tier 2: Direct Market Evidence

Examples:

- Direct buyer feedback
- Written sales-agent feedback
- Distributor expressions of interest
- Current negotiation evidence
- Recent credible market checks

Tier 2 evidence may materially influence territory value but should be adjusted for certainty.

Tier 3: Reported Industry Evidence

Examples:

- Publicly reported acquisitions
- Trade-publication deal reports
- Public distributor announcements
- Producer disclosures
- Verified market reports

Tier 3 evidence may support a valuation where transaction terms are sufficiently clear.

Tier 4: Public Performance Evidence

Examples:

- Box office
- Streaming views
- Television ratings
- Release scale
- Distributor activity
- Festival performance
- Audience metrics

Tier 4 evidence may support comparable selection, market positioning and buyer-capacity modelling.

It must not be treated as though it were an actual MG.

Tier 5: Analyst Assumption

Examples:

- Inferred territory allocation
- Estimated buyer economics
- Provisional cast classification
- Market proxy
- Unsupported rights assumption

Tier 5 evidence must be clearly identified and receive the lowest weighting.

9. VALUATION BASIS

Every territory must be assigned one of the following valuation bases:

Verified Transaction Model

Used where sufficient Tier 1 evidence exists.

Market-Tested Model

Used where credible Tier 2 evidence exists but no completed transaction has occurred.

Independent Public Proxy

Used where the valuation is derived principally from Tier 3 and Tier 4 evidence.

Insufficient Evidence

Used where the available evidence is not adequate to produce a credible valuation.

The report must disclose the valuation basis for every territory.

10. COMPARABLE-TITLE METHODOLOGY

The model should ordinarily use five to ten weighted comparables where available.

Comparable types must be distinguished:

- Transaction comparables
- Territory-performance comparables
- Box-office comparables
- Streaming comparables
- Television comparables
- Creative-positioning comparables

Only transaction evidence may directly anchor an MG or licence-fee value.

Performance comparables may influence market demand, package adjustments and confidence.

10.1 Comparable Relevance Weighting

The standard relevance weighting is:

- Genre and tone: 20%
- Cast package: 20%
- Budget and production scale: 15%
- Director profile: 10%
- Language and country: 10%
- Release model: 10%
- Market recency: 10%
- Rating and audience: 5%

Total: 100%

The weighting may be amended where a specific project requires a different emphasis, but any change must be documented.

The model must select the most commercially relevant comparables, not the highest-grossing titles.

11. ACTOR AND DIRECTOR INPUTS

The actor-value and director-value databases remain separate from the core sales engine.

The engine may import the following controlled fields:

- Name
- Commercial tier
- Territory score
- Genre score
- Lead or supporting value
- Momentum
- Evidence confidence
- Review date
- Risk notes
- Attachment status

Where database information is unavailable, the engine may accept a manual provisional classification.

Manual classifications must receive a confidence discount.

The engine must never assign the full value of aspirational cast or director targets.

12. ATTACHMENT CERTAINTY

The following default attachment weightings apply:

- Wish list: 0%
- Informal interest: 15%
- Availability confirmed: 30%
- Offer submitted: 50%
- Letter of intent: 70%
- Conditional agreement: 85%
- Signed agreement: 100%

These weightings remain editable where the underlying documentation warrants a different treatment.

Pay-or-play, finance conditions, scheduling conditions and approval rights must be identified separately.

13. PACKAGE ADJUSTMENTS

The base territory value may be adjusted for:

- Actor package
- Director value
- Producer track record
- Script quality
- Commercial hook
- Genre demand
- Production value
- Original language
- Rating
- Cultural exportability
- Underlying intellectual property

- Production stage
- Delivery risk
- Market conditions
- Rights structure

All adjustments must:

- Be traceable
- Be capped
- Avoid double-counting
- Be supported by evidence
- Carry an evidence-confidence score

The production budget must not be used mechanically to create sales value.

Budget may be used as:

- A production-value indicator
- A recoupment test
- A comparable-selection factor
- A reasonableness check

14. INDEPENDENT PUBLIC PROXY MODEL

Where verified transaction evidence is unavailable, the engine may calculate an independent public proxy.

The proxy may consider:

- Comparable box office
- Estimated distributor rentals
- Post-theatrical value
- Television and ancillary value
- P&A costs
- Distribution overhead
- Required distributor margin
- Release scale
- Genre demand
- Territory allocation
- Package strength
- Evidence quality

The proxy represents estimated buyer acquisition capacity.

It must not be described as:

- An actual MG
- A distributor offer
- A sales-agent estimate
- A guaranteed sale

Public proxy values must be clearly labelled as independent indicative estimates.

15. CONFIDENCE GRADES

Each territory receives a confidence grade.

Grade A: Market Tested

Requirements may include:

- Verified transactions
- Written offers
- Direct buyer checks
- Confirmed rights
- Signed cast
- Strong current evidence

Grade B: Strong Indicative Evidence

Requirements may include:

- Several close comparables
- Strong public transaction evidence
- Credible package information
- Clear rights basis
- Limited direct market testing

Independent public proxies may not exceed Grade B.

Grade C: Indicative

Characteristics may include:

- Limited transaction evidence
- Public performance proxies
- Provisional cast
- Incomplete rights information
- Moderate assumptions

Grade D: Speculative

Characteristics may include:

- Aspirational package
- Weak comparables
- Unconfirmed rights
- Early development stage
- Insufficient territory evidence

No Grade

No monetary estimate should be provided where evidence is materially insufficient.

16. LENDER RECOGNITION

The default lender-recognition rules are:

- Grade A: project-specific lender recognition
- Grade B verified or market-tested: conservative lender discount
- Grade B public proxy: 25% of unsold Take
- Grade C public proxy: 10% of unsold Take
- Grade D public proxy: 0%
- Insufficient evidence: 0%

A project may receive a lower recognition percentage based on:

- Unsigned cast
- Incomplete rights
- Unappointed sales agent
- Production risk
- Delivery risk
- Weak buyers
- Payment risk
- Currency controls
- Regulatory restrictions
- Territory collection concerns

A lender-facing report must never treat Ask or Expected Close as collateral.

17. FINANCE VIABILITY

The model must calculate:

Net Finance Requirement
equals Production Budget
less Confirmed Soft Money
less Confirmed Equity
less Other Confirmed Finance

The model must separately test:

- Gross Take against Net Finance Requirement
- Unsold Take against Net Finance Requirement
- Bankable Value against proposed debt
- Net Producer Receipts against recoupment requirements

The classifications are:

- Sufficient
- Marginal
- Insufficient

The calculation must not include speculative soft money or unconfirmed finance.

18. DEFAULT SALES DEDUCTIONS

The default deductions are:

- Sales-agent commission: 12%
- Sales expenses: 5%
- Collection-account costs: 1%

All assumptions remain editable.

Any expenses cap, commission escalator, sub-agent commission or distribution fee must be separately identified.

19. CURRENT MARKET CONDITIONS

The model should consider current evidence relating to:

- Distributor acquisitions
- Buyer appetite
- Genre demand
- Platform demand
- Theatrical conditions
- Television demand
- Market congestion
- Competing titles
- Regulatory risk
- Payment and collection risk

Market information must be dated.

Stale market information must receive a recency discount.

20. OVERRIDES

Manual overrides are permitted only where:

- A clear commercial reason exists
- The original calculated value remains visible
- The revised value is documented
- The person authorising the override is identified
- The date is recorded
- The supporting evidence is cited

Overrides must not be used to force the valuation to meet a production budget or finance requirement.

21. REQUIRED REPORT DISCLOSURE

Every report must include:

- Valuation date

- Reporting currency
- Report type
- Rights basis
- Valuation methodology
- Evidence limitations
- Ask
- Expected Close
- Take
- Confidence by territory
- Bankable Value, where relevant
- Net Producer Receipts
- Principal assumptions
- Material risks
- Sales-agent validation caveat

22. REQUIRED CAVEAT

Every report must state:

This report is an independent indicative valuation produced by Saracen Bridge Analytics using available market evidence, comparable-title performance, package analysis and proprietary modelling. It is not a formal sales-agent estimate, distributor offer or guarantee of sales performance. Territory values should be validated through direct buyer and recognised sales-agent market testing before being relied upon for binding financing, lending or production decisions.

23. PROHIBITED PRACTICES

The engine and reporting GPT must not:

- Claim 100% accuracy
- Guarantee sales
- Invent buyer interest
- Invent transaction evidence
- Treat box office as an MG
- Double-count streaming rights
- Apply aspirational cast at full value
- Use budget alone to determine sales value
- Aggregate incompatible rights
- Present Ask as bankable collateral
- Hide confidence limitations
- Alter values to make a project appear financeable
- Present public proxies as formal sales-agent estimates

24. GOVERNANCE

Every valuation must retain:

- Engine version
- Methodology version
- Valuation date

- Source register
- Input assumptions
- Override record
- Analyst or reviewer
- Actor and director database review dates
- Comparable-data review dates

A valuation should be refreshed where:

- Cast changes
- Director changes
- Budget changes materially
- Rights are sold or reserved
- Production status changes
- A sales agent is appointed
- Buyer feedback is received
- The film is completed
- Material market conditions change

25. LOCKED DEFAULTS

The following defaults are formally adopted:

- Reporting currency: USD
- Producer-Facing and Lender-Facing report options
- USA and Canada valued separately
- Default licence term: 15 years
- Default rights basis: all available rights, subject to exclusions
- Default sales-agent commission: 12%
- Default sales expenses: 5%
- Default collection-account costs: 1%
- Expected Close calculated independently from Ask and Take
- Streaming value never automatically added to all-rights territory value
- Public proxies capped at Grade B confidence
- Grade B public-proxy lender recognition: 25%
- Grade C public-proxy lender recognition: 10%
- Grade D public-proxy lender recognition: 0%
- Actor and director databases maintained separately
- Final sales-agent and buyer market validation required